BUSINESS VALUATION

Canal Works — fictional company

Technology

Indicative valuation

Estimate based on the supplied financials and stated assumptions. Actual transaction terms may differ.

INDICATIVE EQUITY VALUE

€821K

€642K – €1M

Equity after netting interest-bearing debt and excess cash — what the seller indicatively nets.

MANUAL METHOD OVERRIDE

REPORTED EBITDA	APPLIED MULTIPLE (EV/EBITDA)	REPORT DATE
€200K	4.84×	November 3, 2026

01 Summary

DATA COVERAGE
MEDIUM
based on supplied figures

Revenue • EBITDA • Comparable transactions

EBITDA-MULTIPLE

This indicative assessment of Canal Works — fictional company as of November 3, 2026 uses the following method: EBITDA-multiple. Financial reference date: December 31, 2025.

Indicative enterprise value: **€896K**. Model range: **€717K — €1.1M**.

Indicative equity value: **€821K**. Model range: **€642K — €1M**.

Purchase consideration, transaction costs and completion adjustments are separate. **Unquantified normalisations can move the final value materially beyond this model range.**

INDICATIVE EQUITY VALUE

€821K

Range: €642K — €1M

Suggested Listing Price: **€821,325** Market anchor — no negotiation buffer

€185K × 4.84× ≈ **€896K**
€896K - €75K = €821K

REPORTED EBITDA

€200K

Reported EBITDA 2025: €200,000

APPLIED MULTIPLE (EV/EBITDA)

4.84×

Benchmark reference range: 4.8–7.2×

REVENUE

€1M

SENSITIVITY ANALYSIS

Illustrative scenario: vary the pricing metric and effective multiple by ±20% each. All other assumptions remain fixed. Enterprise value only; no statistical coverage. Axes are rounded for display; cells use exact inputs. This grid does not replace the saved valuation range.

EBITDA / MULTIPLE	≈3.8760× -20%	≈4.8450× BASE	≈5.8140× +20%
≈€148,000 -20%	€573,648	€717,060	€860,472
≈€185,000 BASE	€717,060	**€896,325**	€1,075,590
≈€222,000 +20%	€860,472	€1,075,590	€1,290,708

Headline valuation range: €642,060 — €1,000,590 (equity value; saved calculation).

Scenario calculation: 00934c75fbd27cf02ee0b290f3c3c1826ba4b9ec224fac10c9076e5dc71bfe72
Source calculation: vrun_8ac97339327dea59457e922d

INDUSTRY COMPARISON

Reference industry (not the same source as valuation basis)

The applied multiple (after calibration and risk adjustments) differs from the reference median; this is a transaction-specific estimate, not a universal market premium or discount.

Market median (EV/EBITDA): 6.00× (-19.2%) **Range:** 4.8–7.2× **Sample:** 58 transactions

EV-TO-EQUITY BRIDGE

Enterprise Value (EV)	**€896,325**
- Net Debt	**€75,000**
= Equity Value	**€821,325**

The equity conclusion is separate from agreed consideration and net seller proceeds.

Transaction-specific adjustments, costs and taxes require separate confirmation. Do not deduct debt, cash, tax or working-capital items already included in the conclusion a second time.

Note: For owner-operated micro-businesses, buyers may apply SDE multiples (Seller's Discretionary Earnings). This report uses EBITDA-based EV in accordance with standard M&A practice.

Range basis and validation · Calculated model band
Transaction-price accuracy and interval coverage are unverified: no eligible completed-deal holdout observations are available.
Excluded methods

- DCF: Provide a verified company-issued forecast or cash-flow schedule with source documents.
- SDE multiple: Provide approved, source-backed owner compensation adjustments and an eligible SDE benchmark.
- ARR multiple: Provide verified recurring-revenue metrics and an eligible ARR benchmark.
- Adjusted net assets: Provide a complete balance sheet and source-backed asset and liability adjustments.
- Property yield: Provide verified property income, lease terms and a source-backed yield benchmark.
- Fiscal reference: Provide the balance sheet and eligibility evidence required by the fiscal reference method.
- Startup valuation: Provide verified funding, ownership and operating evidence required by the startup method.
- Liquidation value: Provide a complete asset and liability schedule, realization assumptions and disposal costs.

02 Reported EBITDA and historical development

No normalization adjustments were admitted to the saved earnings basis. Annual observations and applied year weights are disclosed separately below.

Owner-led business — normalisation not yet confirmed.

An experienced buyer will normally request support for market-rate owner compensation and any one-time or personal expenses. The annual figures used in the valuation have no normalisation adjustments. Confirm these items before external distribution.

REPORTED EBITDA (2025)	NORMALISATIONS APPLIED	REPORTED EBITDA (2025)
€200K	€0	€200K

The valuation uses weighted EBITDA of €185,000 (multi-year saved year weights). This is not an additional normalization adjustment relative to the latest fiscal year.

ADJUSTMENTS OVERVIEW

DESCRIPTION	SOURCE	CATEGORY	AMOUNT (€)
Reported EBITDA (2025)	Manual input 2025	BASE	€200,000
Reported EBITDA (2025)	—	RESULT	€200,000

SOURCE LEGEND

- **Manual** — Entered or amended by the advisor — evidence and rationale in the note.

MULTI-YEAR OVERVIEW — VALUATION BASIS

The saved pricing earnings basis (3-year weighted EBITDA) is **€185,000**. No normalization adjustments were admitted; annual observations remain distinct from the weighted basis.

YEAR	REPORTED	EBITDA (NO ADJUSTMENTS)	WEIGHT	WEIGHTED
2023	€150,000	€150,000	17%	€25,000
2024	€180,000	€180,000	33%	€60,000.00
2025	€200,000	€200,000	50%	€100,000
Calculated total			100%	€185,000
Rounded for valuation				**€185,000**

These year weights come from the saved earnings basis; this table does not select or exclude additional years. Amounts rounded to €K unless otherwise stated.

03 Valuation Calibration — EV/Sales

Each step from market multiple to final enterprise value — full transparency. EV/SALES

EV / SALES — SUMMARY

Revenue	€1,000,000
× EV/Sales-multiple	≈1.2112×
= Enterprise Value	**€1,211,250**

Range: **0.97× — 1.45×**

SENSITIVITY ANALYSIS — REVENUE × EV/SALES

Illustrative scenario: vary the pricing metric by ±15% and the applied multiple by ±20%. Other assumptions remain fixed. Enterprise value only; no statistical coverage. Axes are rounded for display; cells use exact inputs. This scenario does not replace the saved valuation range.

REVENUE / EUR	≈0.9690×	≈1.0901×	≈1.2112×	≈1.3324×	≈1.4535×
≈€850,000	€823,650	€926,606.25	€1,029,562.50	€1,132,518.75	€1,235,475
≈€900,000	€872,100	€981,112.50	€1,090,125	€1,199,137.50	€1,308,150
≈€950,000	€920,550	€1,035,618.75	€1,150,687.50	€1,265,756.25	€1,380,825
≈€1,000,000	€969,000	€1,090,125	**€1,211,250**	€1,332,375	€1,453,500
≈€1,050,000	€1,017,450	€1,144,631.25	€1,271,812.50	€1,398,993.75	€1,526,175
≈€1,100,000	€1,065,900	€1,199,137.50	€1,332,375	€1,465,612.50	€1,598,850
≈€1,150,000	€1,114,350	€1,253,643.75	€1,392,937.50	€1,532,231.25	€1,671,525

Scenario calculation: 9bf12d121d9fcf45b768cfa0c6bab12fbf61713670f27594e4ddd0bdf1cbbc9d
Source calculation: vrun_8ac97339327dea59457e922d

The revenue method uses the earnings definition and pricing inputs committed by the saved run. Market evidence, where available, is disclosed separately with its source and date. Unavailable evidence does not establish a transaction comparable set. This method result contributes to the conclusion only when admitted in the saved synthesis.

METHODOLOGY FOUNDATIONS · EV / Revenue Multiple

Revenue-anchored multiple for EBITDA-thin or pre-profit companies.

Standards & references

- Trugman (2017) and West (2012) - revenue multiple SME calibration
- Damodaran (2012) - revenue multiples for unprofitable or growth firms

04 Valuation Calibration

Each step from market multiple to final enterprise value — full transparency. (Methodology: EBITDA-multiple)

PER-METHOD DOSSIERS IN THIS REPORT: EV/Sales — below: the consolidated calibration ledger.

INITIAL MULTIPLE		RISK DISCOUNTS		APPLIED
4.84×	+	0.00×	=	4.84×

SELECTED VALUATION BASIS		MULTIPLE		EV
€200,000	×	4.84×	=	€896,325

EV-TO-EQUITY BRIDGE

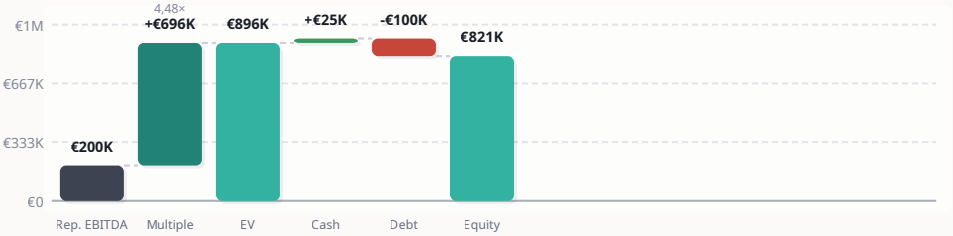
Enterprise Value (EV)	€896,325
- Net Debt	€75,000
= Equity Value	€821,325

MULTIPLE BUILDUP: see the dedicated dossier above for the per-method multiple buildup and all calibration steps.

VALUE WATERFALL

€821K

From normalized performance to enterprise and equity value. Cash, interest-bearing debt, working capital and other balance-sheet adjustments are applied only when balance inputs are available. Missing cash and debt remain unverified.



FULL CALCULATION

STEP	MULTIPLE	IMPACT	EV	REF
1. Market Consensus (P50 Median)	6.00×	–	€1.1M	[1]

CONCLUSION **EV:** 4.84× → €896K
Net debt - €75K = Equity €821K

[1] The benchmark provenance identifies the reference observations and their percentile band. Company adjustments and synthesis determine the reported model band; transaction-price accuracy and coverage are unverified.

[2] Size discount is not stacked separately: the SME/private-transaction multiple already embeds size risk; only remaining company-specific risks are shown separately.

GM

Growth Maturity Roadmap

Operating priorities based on revenue and team-size evidence.

OPERATING STAGE

Structured SME

Confirm both revenue and team size before treating this roadmap as complete.

NEXT PRIORITY

Scaled SME

Partial maturity data

GROWTH LADDER

Micro	Owner-led	Emerging team	Structured SME	Scaled SME	Enterprise-scale
			Current / Revenue	Next	

REVENUE LEVEL

Structured SME

EUR 1M to 2M revenue

€1M

TEAM CAPACITY

Not provided

Team size not provided

ADVISOR FOCUS

Complete the evidence base

Confirm revenue and FTE before using this maturity roadmap as a decision basis.

ADVISOR FOCUS

Next step

Build transferable routines that prove Scaled SME capacity.

ADVISOR FOCUS

Evidence for the file

Document responsibilities, monthly KPIs, and dependencies a buyer can verify.

TR

Transaction Readiness Memo

First buyer diligence map: price mechanics, evidence gaps, buyer questions and SPA implications.

READINESS SCORE	REPORT STATUS	BUYER PACKAGE
50/100	Legal review required	Review required

The valuation report can be reviewed as a memo, but the buyer package still requires review: 0 critical review items, 3 review items, 7 missing; contract-integrity attention points: 1. This package check is informational until a buyer package is requested.

Missing: PDF export, IM/CIM, Due diligence checklist, Buyer Q&A, ...

Price Mechanics

EV	Equity	Mechanism
€896K	€821K	Completion accounts

SPA Handoff

PRICE MECHANICS	**Completion accounts or locked box with leakage covenant** Define net debt, cash and working capital explicitly in the SPA.
DISCLOSURE SCHEDULE	**Seller disclosure and document completion** Missing documents must be completed before signing or scheduled as disclosures.

Evidence Checklist

Financial statements and base data — REVIEW

Without official-source alignment, buyer will ask for reconciliation.

Reported EBITDA basis — normalization outstanding — REVIEW

Owner/titular remuneration, involvement and replacement cost remain to be evidenced; the valuation uses reported, unnormalised EBITDA.

Balance sheet, net debt and working capital — REVIEW

Buyer will not accept cash-free/debt-free pricing or working-capital mechanics without balance evidence.

Transaction benchmark and multiple — PRESENT

Thin benchmarks increase the risk of a multiple haircut.

Evidence: DELPHI_BENCHMARK_CONTRACT

Method map and methodology substantiation — PRESENT

Every price anchor must trace to a method, input and limitation.

Corporate identity, registry and UBO — MISSING

Registry evidence is not UBO/AML clearance; legal review remains required.

Owner dependency and transferability — REVIEW

High dependency often becomes earn-out, retention covenant or price pressure.

Buyer Challenges

HIGH

Missing documentation may lead to diligence delay and price pressure.

Action: completed_data_room_manifest

07 Earnings scenario × multiple

Illustrative scenario: pricing earnings ±3.0%, using the multiples shown in the columns. Other assumptions remain fixed. The central cell corresponds to the market-multiple enterprise value. No revenue forecast or statistical coverage. Values are rounded for display.

SCENARIO	CHANGE	EBITDA / EUR	≈3.8760×	≈4.8450×	≈5.8140×
Downside	-3.0%	€179,450	€695,548.20	€869,435.25	€1,043,322.30
Base	0.0%	€185,000	€717,060	€896,325	€1,075,590
Upside	3.0%	€190,550	€738,571.80	€923,214.75	€1,107,857.70

This sensitivity does not replace the saved valuation range.

Scenario: 8796f32a2daffed335254bb27af9b8e6417427eefbd75ad1e6227cfc7da39f04
Source: vrun_8ac97339327dea59457e922d / 8ac97339327dea59457e922d1dcc9cf8e19cd9e4638350a60f9ee2585dcaf336

08 Multiple and discount evidence

Pre-adjustment reference-mix and segment tables are excluded from the published synthesis: they are not the saved conclusion. Admitted contributions are disclosed in the saved method dossier.

This appendix shows the structured build-up behind the value: earnings basis, reference multiple, discounts, advisor weights, and any segment valuation. Missing inputs remain explicit instead of being inferred in the report layer.

BASIS	RISK LAYER	FLOOR
EBITDA	**On**	**45%**

MARKET EVIDENCE

Subject company	**Technology**
External market anchor	**Market median (EV/EBITDA)**
Band	**4.80x / 6.00x / 7.20x**
Source / sample	**DELPHI_BENCHMARK_CONTRACT · n=58 · 2026-05-01T00:00:00Z**
Scope	**BE · native · native_benelux**
Summary	**Invented figures for the Canal Works tutorial. No observed market transactions.**

EARNINGS BASIS

Latest reported EBITDA	**€200,000**
Weighted EBITDA before adjustments	**€185,000**

MULTIPLE BUILD-UP

STEP	MULTIPLE	IMPACT	EV
Effective multiple (after discounts)	4.84x	0x	€896,325

DISCOUNTS AND WEIGHTS

FACTOR	MODEL	ADVISOR WEIGHT	EFFECTIVE	EUR IMPACT	RATIONALE / SOURCE
Size discount	—	100%	—	—	—
Liquidity discount	—	100%	—	—	—
Country adjustment	—	100%	—	—	—

Monetary impacts unavailable: no pre-adjustment base bound to the saved calculation was admitted. Priced adjustments are disclosed in the sealed register.

EV TO EQUITY BRIDGE

ITEM	AMOUNT
Enterprise value	€896,325
- Net debt	€75,000
= Equity value	**€821,325**

NWC normalization not assessed separately in the supplied balance data.

09

Priced evidence register

This register is a read-only projection of the sealed run. Amounts and percentages are rendered as supplied; this template recalculates no value.

Run	`vrun_8ac97339327dea59457e922d`
Run hash	`8ac97339327dea59457e922d1dcc9cf8e19cd9e4638350a60f9ee2585dcaf336`
Register hash	`4b8886cdc1a176b03d8b60bfd52e5bfa5482f2120a64fabd0d9ba14e8a289cfd`
Adjustment hash	`4fc00aacb1051a635dffe6f2891c9503d69c15ad626d4dd199c0a2c09e158d12`

PRICED EVIDENCE REGISTER

METHOD / USE	SOURCE / SNAPSHOT	DATES	SAMPLE	FRESHNESS / REVIEW
ebitda multiple priced benchmark metric:ev ebitda	benchmark_snapshot bench-software-be-2026q2 bench-software-be-2026q2	observed: - published: -	n=58	not assessed not assessed **Missing:** provider, observed-at, published-at, freshness, review

10 Actionable adjustment waterfall

This register is a read-only projection of the sealed run. Amounts and percentages are rendered as supplied; this template recalculates no value.

Run	vrun_8ac97339327dea59457e922d
Run hash	8ac97339327dea59457e922d1dcc9cf8e19cd9e4638350a60f9ee2585dcaf336
Register hash	4b8886cdc1a176b03d8b60bfd52e5bfa5482f2120a64fabd0d9ba14e8a289cfd
Adjustment hash	4fc00aacb1051a635dffe6f2891c9503d69c15ad626d4dd199c0a2c09e158d12

ACTIONABLE ADJUSTMENT LINES

CATEGORY	LINE	SEALED IMPACT	STATE	EVIDENCE / ACTION
EV to equity equity value	**Add: cash & equivalents**	EUR 25000.0	priced applied	- not supplied **Missing:** evidence-ids, evidence-status, evidence-date, source
Structural / shareholder / transaction enterprise value multiple	**Size discount**	-5.00%	priced applied	- not supplied **Missing:** evidence-ids, evidence-status, evidence-date, source
Structural / shareholder / transaction enterprise value multiple	**Country adjustment**	0%	priced applied	- not supplied **Missing:** evidence-ids, evidence-status, evidence-date, source
Structural / shareholder / transaction enterprise value multiple	**Liquidity discount**	-15.00%	priced applied	- not supplied **Missing:** evidence-ids, evidence-status, evidence-date, source
EV to equity equity value	**Less: total debt**	EUR -100000.0	priced applied	- not supplied **Missing:** evidence-ids, evidence-status, evidence-date, source

11 Important Notes

INDICATIVE ESTIMATE — NOT FINANCIAL ADVICE

This document provides an indicative valuation estimate for informational purposes only. It does not constitute financial, legal or tax advice, a fairness opinion, or a statutory valuation under Belgian company law (WVV). Seek independent professional advice before making investment or transaction decisions.

MODEL ASSUMPTIONS AND ATTENTION POINTS, SEALED WITH THE CALCULATION

- No major risk factors identified

REGULATORY STATUS

Upswitch is not a licensed investment firm or auditor. This estimate does not meet statutory requirements under Belgian WVV or FSMA regulations.

DATA DEPENDENCY

The analysis is based on provided information without independent audit. The customer and the party supplying the source data remain responsible for its accuracy and completeness.

THIRD PARTY LIMITATION

Prepared exclusively for Canal Works — fictional company. Third parties may not rely on this report without prior written consent from Upswitch and, where applicable, the preparer.

REFERENCE PERIOD

Assuming facts remain unchanged, intended as a reference for **up to 90 days from** November 3, 2026.

Financial basis: December 31, 2025; no interim results after that date are incorporated.

Review no later than: February 1, 2027.

LEGAL SUMMARY

- Indicative estimate only — not financial advice or statutory valuation
- Based on provided data — not independently audited
- For named recipient only — third party reliance requires consent

Full terms at upswitch.app/terms-and-conditions • Belgian law applies

METHODOLOGY

The enterprise value has been calculated using the market approach based on comparable transaction multiples (EV/EBITDA).

Benchmarks: DELPHI_BENCHMARK_CONTRACT (n=58). Report structure inspired by IVS; not a full IVS or USPAP engagement unless separately agreed.

SOURCES & REFERENCES

The valuation methodology in this report is based on the following academic sources and professional standards:

Damodaran, A. (2012). Investment Valuation. 3rd ed. Wiley.

Koller, T., Goedhart, M. & Wessels, D. (2020). Valuation: Measuring and Managing the Value of Companies. 7th ed. McKinsey & Company / Wiley.

Pratt, S. P. & Niculita, A. V. (2008). Valuing a Business: The Analysis and Appraisal of Closely Held Companies. 5th ed. McGraw-Hill.

Hitchner, J. (2017). Financial Valuation. 4th ed. Wiley.

Trugman, G. (2017). Understanding Business Valuation. 5th ed. AICPA.

Pepperdine Private Capital Markets Report (2024).

VFB Belgium – Private Company Valuation Data (2024).

IBBA Market Pulse Survey (2024).

International Valuation Standards (IVS) 2022, IVSC.

Vlerick Business School – Belgian SME Benchmark Data.

Mercer Capital (2017) — Discount for Lack of Marketability & Discount for Lack of Control: typical M&A haircut bands (DLOC 10–25%, DLOM 15–35%).

Marktlink + Vlerick (2024) — Belgian SME multiples handbook; peer-set calibration for the EV/EBITDA multiple by sector × revenue band × region.

Ref: val_1000000000_canalworks

Prepared by Upswitch • November 3, 2026

Run vrun_8ac97339327dea59457e922d · SHA-256 8ac97339327dea59…

12

Valuation based on manual method selection

The advisor manually selected a valuation method instead of the Upswitch Adaptive result.

This report shows the valuation method chosen by the advisor. The Upswitch Adaptive value is shown for comparison.

UPSWITCH ADAPTIVE	MANUAL SELECTION
€821K	€821K
Model-selected method	EBITDA-multiple

DELTA VS UPSWITCH ADAPTIVE	within 0.5% of the adaptive reference

Note: The manual selection reflects the advisor's professional judgment and may differ from the Upswitch Adaptive result. Both values are calculated from the same normalized inputs.

13 Multiple sourcing and evidence

This appendix traces where the multiple comes from: the published sector median, the sample and source behind it, then the calibration to the contract basis (size & margin). Company-specific discounts are detailed in the discount build-up addendum.

SECTOR MEDIAN

6.00×

Market median (EV/EBITDA)

CALIBRATED BASIS (REFERENCE)

4.84×

size & margin, before discounts

MARKET EVIDENCE

Anchor	**Market median (EV/EBITDA) · Technology**
Band (P25 / median / P75)	**4.80× / 6.00× / 7.20×**
Source / sample / date	**DELPHI_BENCHMARK_CONTRACT · n=58 · 2026-05-01T00:00:00Z**
Scope	**BE · native · native_benelux**

FROM MEDIAN TO CONTRACT BASIS

The starting point is the sector median (6.00×). It is calibrated to the contract basis (4.84×) for company size and EBITDA margin versus peers: an above-median margin earns a premium, smaller size a discount. Company-specific discounts (dependency, illiquidity, size) are then applied — see the next addendum.

METHODOLOGY & SOURCES

- Comparable private-transaction multiples (EV/EBITDA), resolved by sector × revenue band × region.
- Marktlink + Vlerick (2024) — Belgian SME multiples handbook.
- Pepperdine Private Capital Markets Report (2024) · IBBA Market Pulse (2024).
- Koller, Goedhart & Wessels (2020) — McKinsey, Valuation.

14 Discount build-up and methodology

This appendix details every discount applied to the reference multiple: the size, the reason, the methodology and the source. Discounts are not arbitrary — each maps to a measurable transfer risk a buyer prices in.

REFERENCE MULTIPLE	**4.84×**	before company-specific discounts

No company-specific discounts were applied: the applied multiple equals the reference multiple.

Applied multiple (after discounts) **4.84×**

€200,000 × 4.84× = €969,000 (enterprise value, multiples leg)

This dossier is a draft for review. Authorization for distribution has not yet been recorded.